

reserves by telephone companies absorb a large percentage of gross receipts. In the case of the American Telephone and Telegraph System this percentage averages about 15%,¹⁹ and the same deduction was actually made by the chief subsidiary of the Utilities Service Company (Lima Telephone Company). If depreciation at the rate of 15% of gross is charged against the total revenue, the amount so to be deducted would be \$500,000, and *would leave practically no earnings available for the debenture interest*. In other words, instead of covering the debenture interest 2.71 times as stated, the company would be failing to earn the interest charges by a large deficit.

The ice operations would carry a smaller depreciation charge than 15% of gross, but this advantage should be offset by the greater margin of safety required for an industrial business. Furthermore, if the net valuation of \$12,500,000 placed on the property is accepted, then in any event the annual depreciation deduction should not be less than 4% or \$500,000.

3. The calculation of interest coverage in the circular made by the prior-deductions method would indicate that the debentures were better protected than the prior liens. (They “earned their interest” 2.71 times, while senior interest was covered 2.20 times.)

Assuming a *low* depreciation charge of \$300,000 per annum, and presenting the interest deductions properly, the exhibit of this bond offering should be restated as follows:

Gross.....	\$3,361,000
Net before depreciation	969,000
Depreciation (estimated).....	300,000
Balance for interest.....	669,000
Total interest charges.....	636,000
Balance for dividends.....	33,000
Interest charges earned.....	1.05 times

4. The statement that there was \$1,650 of property value behind each \$1,000 debenture is based upon a similarly misleading method. The aggregate bonded debt was \$10,500,000 against \$12,500,000 of appraised

¹⁹ There is some evidence (in court decisions and the 1939 report of the Federal Communications Commission) that the depreciation charges of American Telephone and Telegraph have been overliberal, but this would hardly affect our reasoning as above.